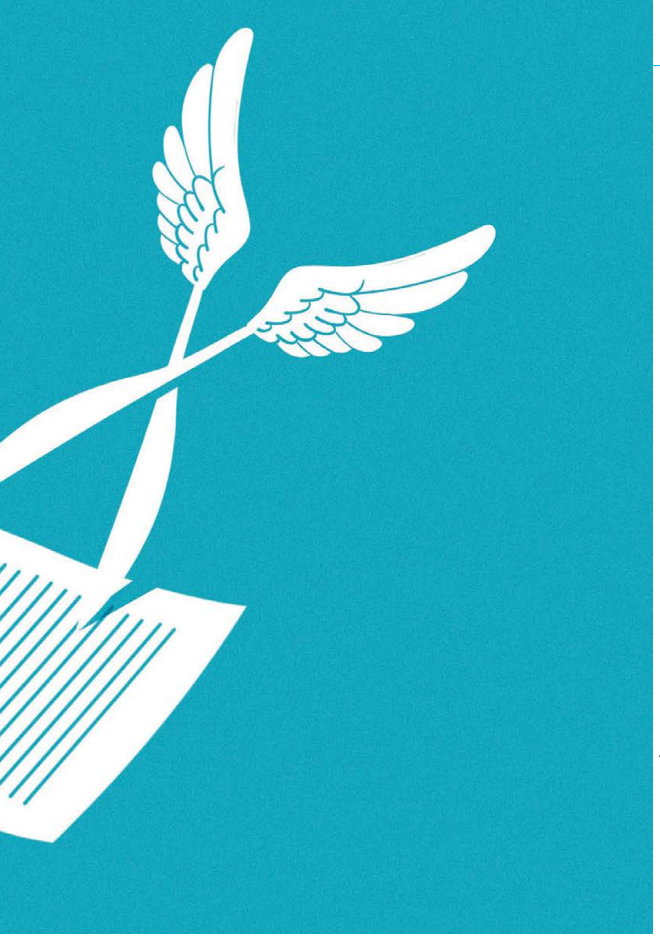


Illustration by SIDDHANT JUMDE

These exemptions will cease to be valid under the new CBDT guideline which clarifies how premiums will be calculated as taxable and non-taxable. From April 1, 2023, the government has done away with the tax-free maturity proceeds on high-value insurance policies.

Policyholders paying a premium of over Rs 5 lakh to buy life insurance policies other than ULIPs and term insurance will have to pay tax on their maturity proceeds. However, if such a policyholder dies then the maturity proceeds for the nominee will be tax-free, clarified the government.

In the case of maturity proceeds from ULIPs, tax is exempted if the premium is up to Rs 2.50 lakh in a year. So, a policyholder can still claim tax exemption if they buy traditional policies with a premium amount of up to Rs 5 lakh and ULIP with a premium amount of up to Rs 2.50 lakh. The overall premium paid towards whole life, money back and endowment or any policy with maturity benefits will be considered to arrive at the total tax payment. To ensure there are no slip-ups, the calculations will be linked to the PAN of the taxpayer.

Moreover, the CBDT clarified that the maturity proceeds from policies issued after April 1, 2023, will be taxed if the aggregate premium amount exceeds Rs 5 lakh. However, not all maturity proceeds will be taxed. The tax scenario will change if an exemption is claimed in the previous year and differ in case of multiple policies, said CBDT. Importantly, these provisions will not be applicable in the event of any pay-out made on the death of the policyholder to the beneficiaries.

INSIDE THE UPI-ATM

It is a well-known fact that the Unified Payments Interface (UPI) is the fastest-growing payment mode in the country which accounts for over 50 per cent of digital transaction volumes. Since its inception, UPI has transformed the payment system and now it is all set to change the role of ATMs. The UPI-ATM will seamlessly integrate the convenience and security of UPI into traditional ATMs, which is set to change the way ATMs have been functioning by providing quick access to cash even in remote areas and without the need for a physical debit or credit card that is typically used at ATMs.

Although one can access ATMs for cash withdrawals without a card even now, the process depends on a registered mobile number and works with an OTP. The UPI-based withdrawals work on a QR code-based system that UPI users can use if they have the UPI application installed on their smartphones. The facility has been introduced by Hitachi Payment Services, which has launched the White Label ATM in association with the National Payments Corporation of India.

At present, the UPI-ATM has a limit of Rs 10,000 per transaction, which is part of the existing UPI per day limit and as per the limits set by the issuer bank for UPI-ATM transactions. This is yet another feature of digital banking which could fill the gap for bank customers who do not wish to carry their cards to access ATMs for cash withdrawal. At the same time, the UPI-ATM makes the payment system complete by disbursing cash which was the one feature that could make UPI usage only go up. The facility also does away with the need for bank-specific ATMs, which could help scores of Indians who have limited access to ATMs. ■

– Narayan Krishnamurthy

STEPS TO USE UPI-ATM FOR CASH WITHDRAWAL

STEP 1
Enter the designated ATM and opt for UPI cash withdrawal

STEP 2
You will be prompted to enter the desired withdrawal amount

STEP 3
A single-use dynamic QR code will be displayed on the ATM screen

STEP 4
Scan the QR code using any UPI app and authorise the transaction with a UPI PIN on the mobile (UPI app)

STEP 5
The cash is disbursed through the ATM